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Illustrative — For Discussion

GPU-Backed Credit

Illustrative Applications of CRI Rates in Credit Structures

March 2026

Profile	Profile A — Contracted Revenue Operator · Primary credit support: committed-term customer contracts
Hypothetical Borrower	Hypothetical GPU Operator LLC — $200M Senior Secured
Collateral	8,000 × NVIDIA H100 SXM5 GPUs
Term	36 months · Quarterly financial covenants · Monthly collateral coverage certification
Reference Rate	CRI-H100 · ccir.io
Applications	Three covenants (§7.01, §7.02, §7.03) · Contract Renewal Risk, Collateral Coverage, Generation Spread
Status	Illustrative. All parameters set by counsel and lenders.

CCIR does not participate in or structure credit transactions referencing CRI rates, and does not provide advice regarding any such transaction. This document illustrates how CRI-H100 and related CCIR reference rates may be referenced in GPU-backed credit structures. All borrower details, rates, trigger levels, and covenant structures are hypothetical, illustrative, and entirely non-prescriptive. All parameters, thresholds, multiples, advance rates, and formula inputs shown are examples only — they are credit judgments determined by counsel and lenders, not by CCIR. CCIR does not recommend, endorse, or prescribe any particular covenant structure, trigger level, threshold, or enforcement mechanism. CCIR is a reference rate provider. This is not legal advice.

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1. Why GPU Credit Agreements Need a Named Reference Rate

Contracted-revenue GPU facilities — where committed-term customer contracts are the primary credit support and GPU hardware is backstop collateral — share three structural vulnerabilities that an independent named reference rate addresses directly.

Gap 1 — A Rate Defined by Either Party Creates Documentation Risk

When a covenant references rental rates, it typically relies on internal analyst estimates — numbers no counterparty can independently verify, and that every deal prices differently. A rate defined by the lender favors the lender. A rate defined by the borrower favors the borrower. Syndicated facilities need a rate all lenders can independently verify. Post-LIBOR, compliance functions have developed institutional resistance to reference rates that lack independent governance and published methodology.

The structural demand is familiar: SOFR replaced LIBOR for the same reason AVITAS aircraft appraisals became contractually required in EETCs. The independent named reference rate is what makes the covenant workable when a breach is in dispute. CRI-H100 is structured to meet that standard for GPU compute.

Gap 2 — Contract Renewal Risk Is the Key Credit Signal

GPU rental rates have declined materially since 2024. Revenue covenants and borrowing base formulas that reference the live on-demand market need an independent, named rate to anchor those calculations — one both parties can verify independently.

A monthly borrowing base certificate that marks the GPU fleet to the current on-demand market gives the lender a collateral calculation that reflects current market conditions — not where a depreciation schedule assumed the hardware would be.

> **The Profile A distinction.** Profile A structures use CRI-H100 in two roles: (1) as the on-demand rate input in the §7.02 Collateral Coverage formula, marking the hardware backstop to current market conditions; and (2) as the denominator in the §7.01 Contract Renewal Risk covenant, measuring the spread between the borrower's base contracted rate and the independent market rate. Both roles require an independent rate neither party controls. All thresholds, advance rates, and structural terms are credit judgments set by counsel and lenders.

2. Three-Covenant Framework — Profile A

The following table summarizes three ways CRI-H100 may be cited in GPU-backed credit documentation. All parameters shown in the worked examples that follow are illustrative only.

Ref.	Application	How CRI-H100 Is Used	Parameters Set By Counsel / Lenders
A	§7.02 Collateral Coverage / LTV	Monthly mark of hardware backstop to current on-demand market — independent of contracted revenue	Capitalization Rate, Utilization Assumption, advance rate, LTV cap
B	§7.03 Generation Spread	B200 premium over H100 — observable proxy for H100 training-tier obsolescence risk	Spread threshold for notice, cap rate step-up level, cure period
C	§7.01 Contract Renewal Risk	Independent market reference measured against Base Contracted Rate — two-sided surveillance over rolling 6-period forward window tracking	Premium Schedule deductions (fixed at closing), Convergence Notice threshold, Reset Cliff threshold and Forward Renewal Exposure concentration gate

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Ref.	Application	How CRI-H100 Is Used	Parameters Set By Counsel / Lenders
		convergence risk and reset cliff concentration	

Key asymmetry lenders should monitor. A declining CRI-H100 rate tightens §7.02 Collateral Coverage (the hardware backstop marks down against outstanding principal) while §7.01 Contract Renewal Risk typically shows a widening spread (locked contracts hold above a falling on-demand rate floor). These two covenants move in opposite directions during an on-demand market decline — monitoring both simultaneously through the life of the facility is essential.

3. Illustrative Scenario Analysis

The following scenarios illustrate how each application responds to CRI-H100 movements. The assumed starting position: contracted revenue above market at closing; borrowing base comfortably covered at closing parameters. All threshold levels are illustrative — the behavioral logic is what matters, not the specific numbers.

Scenario	CRI-H100 vs. Closing	A — §7.02 Collateral Coverage	B — §7.03 Gen Spread	C — §7.01 Contract Renewal Risk
Baseline	At closing level	**PASS** Contracted revenue covers market	**OK** No decline from closing	**PASS** CPR comfortably above 1.10× at closing parameters
Moderate decline (inference pressure)	~20–30% below closing	**PASS** Locked contracts hold	**NOTICE** Borrower assessment triggered	**WATCH** WATCH — CPR improving as rates fall; monitor Forward Renewal Exposure for Reset Cliff concentration
Significant decline (training slowdown)	>35% below closing	**PASS** Locked contracts hold	**EVENT** Monthly calculation frequency	**PASS**
Spot rise (demand surge)	Above contracted rate	**IMPROVING** RESET CLIFF WATCH — CPR widening; assess Forward Renewal Exposure concentration against 30% threshold	**OK** Rate above closing	**PASS** CONVERGENCE NOTICE — CRI-H100 rising toward Base Contracted Rate; renewal leverage narrowing; borrower disclosure triggered
Contract expiry + rate decline	>35% below closing	**BREACH** Revenue no longer covers market floor	**EVENT** Active	**BREACH** RESET CLIFF NOTICE — Contracts re-pricing into materially lower on-demand market; Forward Renewal Exposure above 30%; borrower disclosure and re-pricing scenario required

Key observations:

Locked contracts decouple revenue coverage from on-demand rate movements — until they expire.
The defining Profile A asymmetry: a falling CRI-H100 rate tightens §7.02 Collateral Coverage (hardware marks down) while §7.01 Contract Renewal Risk widens the spread (locked contracts hold above a falling on-demand rate floor). These two covenants move in opposite directions during an on-demand market decline. The inflection comes at contract renewal.

§7.03 Generation Spread is the forward technology risk signal.

A market price monitoring covenant increases surveillance frequency before a financial covenant event materializes. The first threshold surfaces information — borrower disclosure, market assessment, revenue forecast. The second threshold adds checkpoint frequency. Neither is itself an Event of Default. The value is in preserving lender optionality before deterioration has compounded.

§7.01 Contract Renewal Risk is the contract renewal surveillance tool.

The Contract Renewal Risk covenant monitors the spread between the borrower's Base Contracted Rate and CRI-H100 across a rolling 6-period forward window. Convergence Notice at 1.10×; Reset Cliff Notice when CPR exceeds 1.50× and Forward Renewal Exposure exceeds 30% of contracted GPU-hours.

4. §7.02 — Collateral Coverage / LTV

The Collateral Coverage covenant marks the pledged GPU fleet to the current on-demand market for compute capacity using CRI-H100 — not the borrower's contracted price and not book depreciation. In a contracted-revenue structure, this covenant serves the hardware backstop function: even when the primary credit support is the committed-term customer contract, the lender holds GPUs at default. The formula: (Pledged GPUs) × (CRI-H100) × 8,760 hrs × 0.72 Utilization ÷ 0.28 Capitalization Rate. Cap rate steps to 35% on Generation Convergence Event.

4.1 Illustrative Covenant Language

> *SECTION 7.02 — COLLATERAL COVERAGE RATIO — Financial Covenant*
>
> *Borrower shall not permit LTV (Outstanding Principal ÷ GPU Collateral Value) to exceed 80% as of any Calculation Date. [LTV cap is a credit judgment set at underwriting.]*
>
> *"GPU Collateral Value" means, as of any Calculation Date: (Pledged GPUs) × (CRI-H100 Reference Rate) × 8,760 Annual GPU Hours × Utilization Assumption ÷ GPU Capitalization Rate.*
>
> *"Utilization Assumption" means seventy-two percent (72%) for GPU hours deployed in training workloads; sixty-five percent (65%) for GPU hours deployed in inference workloads. [72%/65% are illustrative — the Utilization Assumption is a credit judgment set at underwriting.] "GPU Capitalization Rate" means twenty-eight percent (28%) per annum (the "Base Capitalization Rate"). If a Generation Convergence Event has occurred under §7.03 and remains in effect, the Capitalization Rate shall increase to thirty-five percent (35%) for all subsequent Calculation Dates until the Generation Spread returns to or above the Generation Spread Threshold for two consecutive Calculation Dates. [28%/35% are illustrative — the Capitalization Rate is a credit judgment set at underwriting.]*
>
> *If CRI-H100 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.*

4.2 How the Rate Is Used

CRI-H100 is the single variable input in the Collateral Coverage formula that changes each period. All other parameters are fixed at closing. Both parties can independently verify the ratio from the CCIR data repository without discretionary inputs. The key asymmetry for contracted-revenue lenders: a falling CRI-H100 rate tightens §7.02 (hardware marks down) while §7.01 Contract Renewal Risk widens the spread (locked contracts hold). Both must be monitored simultaneously.

> **On the Capitalization Rate.** The Capitalization Rate is the most negotiated variable at underwriting. A lower cap rate (20%) produces higher Collateral Value and more favorable LTV; a higher cap rate (35%) is more conservative. The Generation Convergence step-up to 35% applies only when spread compression signals

technology obsolescence risk. CCIR's published rate history supports cap rate calibration — CCIR does not recommend specific levels.

On the three-curve framework for contracted-revenue lenders. Three observable signals address the three valuation questions in contracted-revenue GPU lending. CRI-H100 noninterruptible (going-concern rental rate) anchors §7.02 Collateral Coverage. CRI-B200 generation spread (obsolescence velocity) drives the §7.03 cap rate step-up. The Contract Premium Ratio in §7.01 (base contracted rate over CRI-H100) measures renewal risk. Together these give the lender continuous visibility to going-concern value, obsolescence trajectory, and contract renewal exposure.

5. §7.03 — Generation Spread

The Generation Spread covenant monitors the premium that next-generation B200-grade compute commands over H100-grade compute in the noninterruptible on-demand market. When that spread compresses — B200 rates falling toward H100 levels — the training-tier value justifying H100 collateral valuations erodes. This covenant has no independent financial consequence: it does not require prepayment, and is not itself an Event of Default. Its function is to adjust the Capitalization Rate in §7.02 automatically when sustained spread compression confirms that erosion, without requiring an amendment.

Its value is in protecting the §7.02 collateral mark without requiring lender discretion: the cap rate step-up from 28% to 35% is automatic on a Generation Convergence Event, applies consistently across all lenders in a syndicated facility, and reverses automatically when the spread recovers. Both CRI-H100 and CRI-B200 are published daily by CCIR; no party controls the spread calculation.

5.1 Illustrative Covenant Language

SECTION 7.04 — GENERATION SPREAD — Surveillance Covenant

"Generation Spread" means (CRI-B200 Reference Rate minus CRI-H100 Reference Rate) divided by CRI-H100 Reference Rate, expressed as a percentage. The Generation Spread measures the premium that next-generation B200-grade compute commands over H100-grade compute in the noninterruptible on-demand market.

A "Generation Convergence Event" shall occur if the Generation Spread falls below twenty-five percent (25%) — the "Generation Spread Threshold" — for two (2) consecutive Calculation Dates, indicating material compression of the B200 premium and potential erosion of H100 training-tier status. [25% is illustrative — threshold is a credit judgment set at underwriting.]

Upon occurrence of a Generation Convergence Event, the GPU Capitalization Rate in §7.02 shall increase from 28% to 35% for all subsequent Calculation Dates until the Generation Spread returns to or above the Generation Spread Threshold for two (2) consecutive Calculation Dates. [28%/35% are illustrative — rates are credit judgments set at underwriting.]

CCIR publishes both CRI-H100 and CRI-B200 daily at computecreditindex.com. The Generation Spread Threshold and cap rate step-up mechanics are credit judgments set by counsel and lenders at underwriting. If CRI-B200 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.

5.2 How the Covenant Works

The Generation Spread is calculated from two independently published CCIR rates: CRI-B200 and CRI-H100, both available daily at computecreditindex.com. Neither party controls the spread; any counterparty can reproduce the calculation from the public data repository at any point in the life of the facility. The Generation Spread Threshold (25% in the illustrative covenant) and the cap rate step-up level (28% to 35%) are credit judgments set at underwriting — they are not determined by CCIR.

The two decline thresholds — notice trigger and frequency conversion trigger — are credit judgments. The correct levels depend on the facility's LTV cushion at origination, the term remaining, and the borrower's contract coverage ratio at closing. A facility with a larger LTV cushion and high contracted revenue coverage may warrant wider thresholds; a facility at higher LTV with significant on-demand market exposure may warrant tighter ones.

> **On the Generation Spread threshold.** For contracted-revenue lenders, the generation spread threshold warrants particular attention relative to contract renewal timing. A Generation Convergence Event that occurs 6–12 months before a major contract renewal creates compound risk: the §7.02 cap rate step-up tightens the collateral backstop precisely when the borrower is negotiating renewal rates in a market where next-generation hardware has compressed the training-tier premium. CCIR publishes both CRI-H100 and CRI-B200 daily; threshold and step-up mechanics are credit judgments set at underwriting.

6. §7.01 — Contract Renewal Risk

The Contract Renewal Risk covenant monitors the spread between the borrower's Base Contracted Rate and CRI-H100 — the independent on-demand market rate for compute capacity — across a rolling six-period forward window. In a contracted-revenue structure, rate movements create two distinct risks that this covenant tracks simultaneously: convergence risk (CRI-H100 rising toward contracted rates, eroding renewal leverage) and reset cliff risk (CRI-H100 well below contracted rates, with material contract volume expiring into a materially lower market). Both risks warrant lender visibility before they propagate into a §7.02 deficiency.

The Contract Premium Ratio is calculated each Calculation Date from the borrower's certified Base Contracted Rate and the independently published CRI-H100. The Base Contracted Rate uses fixed-dollar deductions agreed at closing — not variable estimates. This means both parties can independently verify the ratio without discretionary inputs from either side.

6.1 Illustrative Covenant Language

> *SECTION 7.01 — CONTRACT RENEWAL RISK — Surveillance Covenant*
>
> *"Base Contracted Rate" means the gross contracted rate per GPU per hour less the fixed-dollar deductions set forth in the Premium Schedule attached as Schedule [X], representing agreed deductions for cluster, SLA, networking, storage, and other premium components agreed at closing. [Premium Schedule deductions are credit judgments agreed at closing.]*
>
> *"Contract Premium Ratio" means, as of any Calculation Date, the Base Contracted Rate divided by the CRI-H100 Reference Rate. "Forward Renewal Exposure" means, as of any Calculation Date, the percentage of total contracted GPU-hours under agreements whose primary term expires within the following six (6) Calculation Periods. Auto-renewals count as unexpired only if the renewal rate is contractually fixed at closing.*
>
> *A "Convergence Notice Event" shall occur if the Contract Premium Ratio falls below 1.10 as of any Calculation Date, indicating that the Base Contracted Rate is approaching the current on-demand market rate and renewal leverage is eroding. [1.10× is illustrative — threshold is a credit judgment set at underwriting.] A "Reset Cliff Notice Event" shall occur if (i) the Contract Premium Ratio exceeds 1.50 as of any Calculation Date, and (ii) Forward Renewal Exposure exceeds thirty percent (30%) of total contracted GPU-hours, indicating that a material volume of contracts is subject to near-term re-pricing into a materially lower on-demand market rate. [1.50× and 30% are illustrative — thresholds are credit judgments set at underwriting.]*
>
> *Upon occurrence of either a Convergence Notice Event or a Reset Cliff Notice Event, Borrower shall, within ten (10) Business Days, deliver written notice to the Administrative Agent including: (i) a schedule of contracts expiring within the following six (6) Calculation Periods, including customer, Base Contracted Rate, gross contracted rate, and remaining term; (ii) Borrower's assessment of renewal prospects and current on-demand market conditions; and (iii) projected GPU Rental Revenue for the following two (2) Calculation Periods under*

> *both a renewal scenario and a re-pricing scenario at the then-current CRI-H100 Reference Rate. A Convergence Notice Event and a Reset Cliff Notice Event are surveillance mechanisms only. Neither is itself an Event of Default, and neither requires prepayment, additional collateral, or adjustment of any formula or advance rate. [Reserve amount and runway period are credit judgments set at underwriting.]*
>
> *If CRI-H100 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.*
>
> *If CRI-H100 is not published on a Calculation Date, the most recently published rate within the prior 5 Business Days shall be used. If no publication is available within such period, the fallback provisions set forth in the credit agreement shall apply.*

6.2 How the Covenant Works

CRI-H100 is the single variable input in the Contract Premium Ratio that changes each period. The Base Contracted Rate is fixed at closing via the Premium Schedule and does not change unless the borrower renegotiates its contracts. This means both parties can independently verify the CPR from the CCIR data repository at any Calculation Date without discretionary inputs from either party. The two-sided structure — Convergence Notice at 1.10× and Reset Cliff Notice at 1.50× with Forward Renewal Exposure above 30% — ensures the covenant surfaces both directions of risk without imposing financial consequences on a borrower whose contracts are performing.

The Premium Schedule deductions are the most important drafting element for §7.01. They determine the Base Contracted Rate that sits in the CPR numerator. Deductions that are too aggressive understate the CPR and create false comfort; deductions that are too narrow overstate it and may produce spurious notice events. All deduction amounts are credit judgments set by counsel and lenders at closing — CCIR publishes only the denominator.

> **On the premium decomposition and Base Contracted Rate.** The Base Contracted Rate uses fixed-dollar deductions agreed at closing. A borrower with a gross contracted rate of $3.80/hr against CRI-H100 at $2.18/hr shows a gross ratio of 1.74×. If the Premium Schedule attributes $0.90/hr to cluster, SLA, and networking, the Base Contracted Rate is $2.90/hr and the Contract Premium Ratio is 1.33× — meaningfully closer to the notice trigger than the gross ratio suggests. The Premium Schedule is the most important drafting step for §7.01; all deduction amounts are credit judgments set at closing.

7. Why a Named Reference Rate

All three applications above reference CRI-H100 as the on-demand market rate for compute capacity. The structural reasons are the same across all three:

Neutrality. A rate defined by the lender favors the lender. A rate defined by the borrower favors the borrower. A named independent reference rate removes that asymmetry — the same structural demand that produced SOFR after LIBOR and AVITAS appraisals in aircraft EETCs.

Independent verifiability. Syndicated facilities require a rate all lenders can independently verify. A proprietary methodology held by one party cannot serve as the reference for a multi-lender facility. Any dispute about the rate — in a workout, at a transfer, or on a calculation date when lenders disagree — requires a source both sides can check independently.

Post-LIBOR governance standard. Bank compliance functions have developed institutional resistance to benchmark risk. A rate published by a party with a financial interest in the GPU market it measures creates documentation risk that is increasingly difficult to clear internal approvals. CRI-H100 is published by Compute Credit Index Research LLC, which holds no position in the GPU compute market it measures. The methodology is published and the rate is reproducible by any party with access to the underlying sources. Under UCC §9-627, a commercially reasonable collateral disposition requires a rate that meets the “price current in any recognized market” standard; a named independent rate cited in the credit agreement and embedded in the covenant formulas provides that reference.

8. Profile A Certificate

CCIR also publishes CRI-B200 daily. The Generation Spread — (CRI-B200 minus CRI-H100) divided by CRI-H100 — is an observable proxy for H100 collateral obsolescence risk. A wide spread reflects B200 access rates above H100 in the on-demand market. Spread compression — B200 rates falling toward H100 levels — reduces the incentive to choose H100 over next-generation hardware.

A surveillance covenant may cite the Generation Spread as a trigger for borrower notice and market assessment, without making the spread itself a financial trigger. The spread threshold that warrants notice, and whether any subsequent adjustment to borrowing base parameters is warranted, are credit judgments determined by counsel and lenders. CCIR publishes both rates daily; how the spread is used in credit documentation is determined by the parties to the agreement.

> **Note on spread interpretation.** For Profile B mixed-book structures using monthly borrowing base certification, see the CCIR Profile B Covenant Framework and companion Borrowing Base Certificate (Exhibit F) at computecreditindex.com.

9. CCIR Rate Reference Support

Structured finance counsel and credit analysts working on Profile A contracted-revenue GPU-backed facilities with questions about CRI rate methodology, the Contract Renewal Risk covenant design, Premium Schedule construction, index definitions, or fallback provisions may contact CCIR at research@ccir.io. For Profile B mixed-book structures, see the CCIR Profile B Covenant Framework. CCIR will respond to written inquiries within 10 business days.

CCIR does not provide legal advice, does not review or approve credit agreement language, does not recommend covenant thresholds or structural terms, and does not advise on the regulatory treatment of CRI rate references in any jurisdiction. All parameters, thresholds, and formula inputs in credit agreements referencing CRI rates are determined solely by counsel and lenders.

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